DISTRIBUTION AGREEMENT

THIS AGREEMENT is dated the 9th day of December 2020.

PARTIES

(1) Ashland Climate (the **Supplier**); and

(2) Hartwell Supply Co. (the **Distributor**).

IT IS AGREED as follows:

1. APPOINTMENT

1.1 The Supplier appoints the Distributor as a non-exclusive authorised distributor of the Products in the Territory, and the Distributor accepts that appointment.

1.2 In this Agreement, the *Territory* means the States of Ohio, Indiana, Kentucky and Michigan and the western part of the Commonwealth of Pennsylvania.

2. DURATION

2.1 This Agreement commences on 1st January 2021 and continues until 31st December 2021.

2.2 This Agreement shall then renew automatically for successive terms of one (1) year each, unless either party gives the other ninety (90) days' written notice that it is not to renew.

3. WARRANTY

3.1 The Products are warranted against defects in materials and workmanship for the periods set out in the Supplier's published limited warranty. The Distributor shall not give or extend any warranty on behalf of the Supplier.

4. INSURANCE

4.1 Each party shall maintain commercial general liability insurance with a limit of not less than US$2,000,000 (two million US dollars) for each occurrence, and shall produce certificates of that insurance to the other party on request.

5. CONFIDENTIALITY

5.1 Each party shall keep confidential the terms of this Agreement, including all pricing and programme terms, and shall not disclose them to any person other than its professional advisers.

6. GOVERNING LAW

6.1 This Agreement shall be governed by and construed in accordance with the laws of the State of Ohio, without regard to its conflict-of-laws rules.

SIGNED for and on behalf of **Ashland Climate** .....

SIGNED for and on behalf of **Hartwell Supply Co.** .....

APPENDIX B

DISTRIBUTOR INCENTIVE PROGRAMME: 2021 PROGRAMME YEAR

Programme Year: 1st January 2021 to 31st December 2021.

B1 **Eligible Purchases.** *Eligible Purchases* means the net invoiced value of purchases of Equipment (being condensers, furnaces, air handlers, heat pumps and packaged units), after deduction of returns and credits, and excluding freight, taxes and parts.

B2 **Volume rebate.** Once the Distributor attains a Tier, the rebate rate for the highest Tier attained shall be applied to the whole of its Eligible Purchases for the Programme Year, from the first dollar.

Tier	Eligible Purchases in the Programme Year	Rebate rate
Tier 1	US$24,000,000 or more	1.00%
Tier 2	US$34,000,000 or more	1.75%
Tier 3	US$49,000,000 or more	2.25%

B3 **Payment.** Rebates shall be paid by way of credit note within seventy-five (75) days after the end of the Programme Year.

B4 **Co-operative advertising.** The Distributor shall accrue co-operative advertising funds at the rate of 1.0 per cent of Eligible Purchases. The Supplier shall reimburse fifty per cent (50%) of the cost of approved activities (dealer training, trade shows, co-branded advertising and displays). Each claim must be submitted, together with proof of performance, on or before 30th April following the end of the Programme Year. Any funds not claimed by that date shall expire.

B5 **Freight.** Orders with a value of US$5,000 or more shall be shipped freight prepaid to any location of the Distributor. Orders below that value shall be shipped freight collect.

B6 **Prior programmes.** The 2019 Heat Pump Accelerator (Appendix C to the 2019 agreement) expired on 31st December 2019. It does not apply to this Agreement or to the 2021 Programme Year.